

M/S Matrumal Dhannalal Oil Mill v. State of U.P. and Another

High Court of Judicature at Allahabad · Division Bench · 25 September 2023 · 2023:AHC:185543-DB · Writ - C No. 26027 of 2023 · **Writ disposed; an application under para 4.20(h) to be considered in accordance with law, with no finding on the refund.**

HEADNOTE

A commercial consumer sought a writ for return of balance additional security of Rs.52,33,743 and, at the hearing, confined the prayer to consideration of its 1 July 2023 application. The licensee relied on para 4.20(h) of the U.P. Electricity Supply Code, 2005 as the mechanism for such an application. The Allahabad High Court declined to keep the writ pending and, without any opinion on entitlement, disposed of it with the observation that an appropriate application under that provision would be considered strictly in accordance with law.

FACTUAL SUMMARY

M/S Matrumal Dhannalal Oil Mill held a commercial electricity connection from Dhakshinanchal Vidyut Vitran Nigam Limited and had deposited Rs.64,06,900 as security on different dates. Facing financial constraint, the firm applied on 1 July 2023 to the Executive Engineer, Electricity Distribution Division, Hathras, for return of the remaining additional security of Rs.52,33,743. That application remained pending. The firm then filed this writ for a direction to refund the balance, and at the hearing confined the prayer to consideration of the 1 July 2023 application.

HOLDING-UNITS

HOLDING-UNIT · U.P. Electricity Supply Code, 2005

refund of additional security

HOLDING

Where the consumer confines a writ for return of balance additional security to consideration of its application, the High Court will not keep the petition pending or decide entitlement. Para 4.20(h) is the mechanism relied on for such an application, and an appropriate application moved under that provision is to be considered by the competent authority strictly in accordance with law. ¶ 4-6

PRINCIPLE TAGS

additional-security-refund-mechanism

The licensee treated para 4.20(h) as the full mechanism for a claim to return balance additional security. Once the writ prayer was confined to consideration, the Court disposed of the petition without a merits finding and left an appropriate application under that provision to be considered strictly in accordance with law. ¶ 4-6

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PETITIONER IS ENTITLED TO REFUND OF THE BALANCE ADDITIONAL SECURITY OF RS.52,33,743

The Court expressed no opinion on the merits and required an appropriate application under para 4.20(h) to be considered in accordance with law. ¶ 6